

Recommendation on Installing Kiosks Instead of Raising Menu Prices

TO: Restaurant Management Team

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SUBJECT: Recommendation on installing kiosks instead of raising menu prices

Situation

Korea's minimum wage will increase from ■10,320 to ■10,700 per hour in January 2027. This will increase the labor costs of restaurants that depend on part-time workers. Therefore, the restaurant needs to decide whether to increase menu prices or reduce labor costs by using ordering kiosks.

Option A — Raise Menu Prices

Raising menu prices is simple and does not require buying new equipment. The restaurant can also keep its current staff and ordering system.

However, higher prices may make customers buy less. Small restaurants may face more problems because customers could choose cheaper restaurants.

Option B — Install Kiosks

Kiosks can reduce the number of workers needed to take orders. This can allow staff to spend more time preparing food and helping customers.

Kiosks are also becoming more common in Korean small businesses because labor costs are increasing.

However, kiosks cost money to buy and install. They also need maintenance and staff training. Some customers may still prefer ordering directly from workers.

Recommendation

I recommend **Option B: installing kiosks**. However, I think the restaurant should start with only two or three kiosks instead of replacing all the staff. This can help reduce labor costs while still keeping enough workers to serve customers.

Next Steps

The manager should compare kiosk prices and installation costs by 30 September. The restaurant should install a trial kiosk before January 2027 and check the results after six months.

Sources

1. Korea Minimum Wage Commission, 2027 Minimum Wage Decision.
2. Korea JoongAng Daily, "Electronic kiosks are all the rage in contactless Korea."
3. Interview with [Bikram Prasad Bhusal], [Nepal], [September 11].